

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$216.00 ▼ 7.82%	12M Price Target \$260.00	52-Week Range \$61.44 – \$329.88	Market Cap \$193.87B
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MRVL: Google Deal Is Huge, But AI Selloff Masks It

WHAT HAPPENED

- MRVL dropped 7.8% yesterday alongside a broader AI-stock selloff — but the real news dropped this morning: Reuters is reporting Marvell gave Google an OPTION to buy a \$12.2B stake tied to a custom chip deal. That's not a small thing — it means Google is committing to Marvell as a long-term custom silicon partner (custom silicon = chips designed specifically for one customer's AI workloads, way more profitable than generic chips).
- The CEO also bought \$1.8M of stock right before the drop — insiders don't put personal money in unless they think it's going higher. That timing matters.

WHY IT MATTERS

Here's the disconnect worth thinking about: the market sold this off with the broader AI trade, but the Google news is a genuine game-changer that hasn't been priced in yet. When a hyperscaler (Google, Amazon, Microsoft — the giant cloud companies) gives you an equity option, they're basically saying "we're locking you in as a strategic supplier" — that's the kind of relationship that turns MRVL from a chip vendor into critical infrastructure. The bearish options flow (that unusual \$275 put buy) suggests some big players are hedging near-term downside, but institutional ownership at 82% tells you the smart money isn't running for the exits. Watch the next 48 hours — if the stock reclaims \$225 on volume, the Google news wins; if it breaks \$210, the AI-bubble crowd takes over the narrative short-term.

POLICY & POLITICAL WATCH

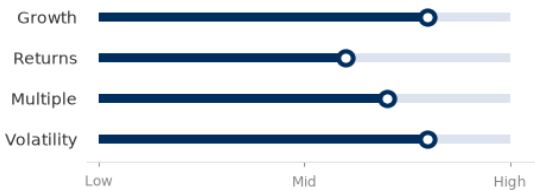
The CHIPS Act money is still flowing and MRVL is a direct beneficiary — the Commerce Department has been steering funds toward US-designed semis for AI, and custom silicon is exactly what Washington wants scaled domestically. The bigger swing factor right now is the Trump administration's China chip export policy — Marvell has China exposure in networking and storage chips, so any tightening of export controls (rumored to be under review this fall) could clip 10-15% of revenue. Also watch the AI Diffusion Rule successor framework — if it gets watered down, hyperscaler capex accelerates further, which is pure fuel for MRVL.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$216.00
12M Price Target	\$260.00
Upside / (Downside)	+20.4%
Market Cap	\$193.87B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.85
FY2027E EPS	\$3.90
Fwd P/E	75.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$222.00	\$195.00
6 Months	\$285.00	\$250.00	\$180.00
1 Year	\$330.00	\$260.00	\$170.00
2 Years	\$400.00	\$310.00	\$160.00
5 Years	\$600.00	\$420.00	\$180.00
10 Years	\$900.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.76%) is running on oil prices and defense/grid spending — the administration's "energy dominance" push is real money. Healthcare bouncing on defensive rotation as people trim AI winners.

COOLING OFF: Communication Services and Consumer Discretionary are bleeding — that's classic "risk off" behavior when big tech gets hit. AI names across the board took it on the chin yesterday.

ROTATION WATCH: Money is rotating OUT of high-multiple AI names and INTO energy and defensives — this is a positioning move, not a fundamental one, which means it usually reverses within 1-2 weeks once earnings catalysts return.

RELATED PLAY: If you like the MRVL custom-silicon thesis, look at ALAB (Astera Labs) and CRDO (Credo) — they make the connectivity chips that plug into Marvell's AI systems, and they move in the same direction but with smaller market caps (bigger upside, bigger risk).

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning the custom AI chip narrative with Google and Meta relationships already generating real revenue — MRVL is chasing this playbook
- ANET (Arista Networks): AI networking pure-play that keeps beating and raising, benefiting from the same data center buildout

MRVL CONTEXT: MRVL has been LAGGING AVGO on the custom silicon story — the Google option news is essentially Marvell catching up. If the market recognizes this as a "Marvell is now in the AVGO club" moment, the stock re-rates higher. If not, it stays in AVGO's shadow.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — The Google deal is a legitimate long-term win but the near-term chart looks ugly and the AI trade is wobbling, so I'm confident but not pounding the table.

POSITION SIZE: 3-5% of portfolio — big enough to matter if it works, small enough that a 30% drawdown doesn't wreck you.

ENTRY POINTS: I'd scale in — buy some at \$216 today, save dry powder for \$200-205 if the AI selloff continues. Don't chase above \$235 until we see the Google deal in an SEC filing.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is the Google contract revenue actually showing up in the numbers (probably 2-3 quarters out) and FY27 guidance getting raised.

WHEN TO BAIL: If a major hyperscaler cuts capex guidance, if the Google option gets pulled or restructured, or if the stock breaks and closes below \$180 on heavy volume — those are your exit signals.

HEDGING: Simplest hedge is just keeping the position modest. If you want protection, buy a small amount of SOXX (semiconductor ETF) puts 3 months out — cheaper than MRVL-specific puts and covers you if the whole sector rolls over.